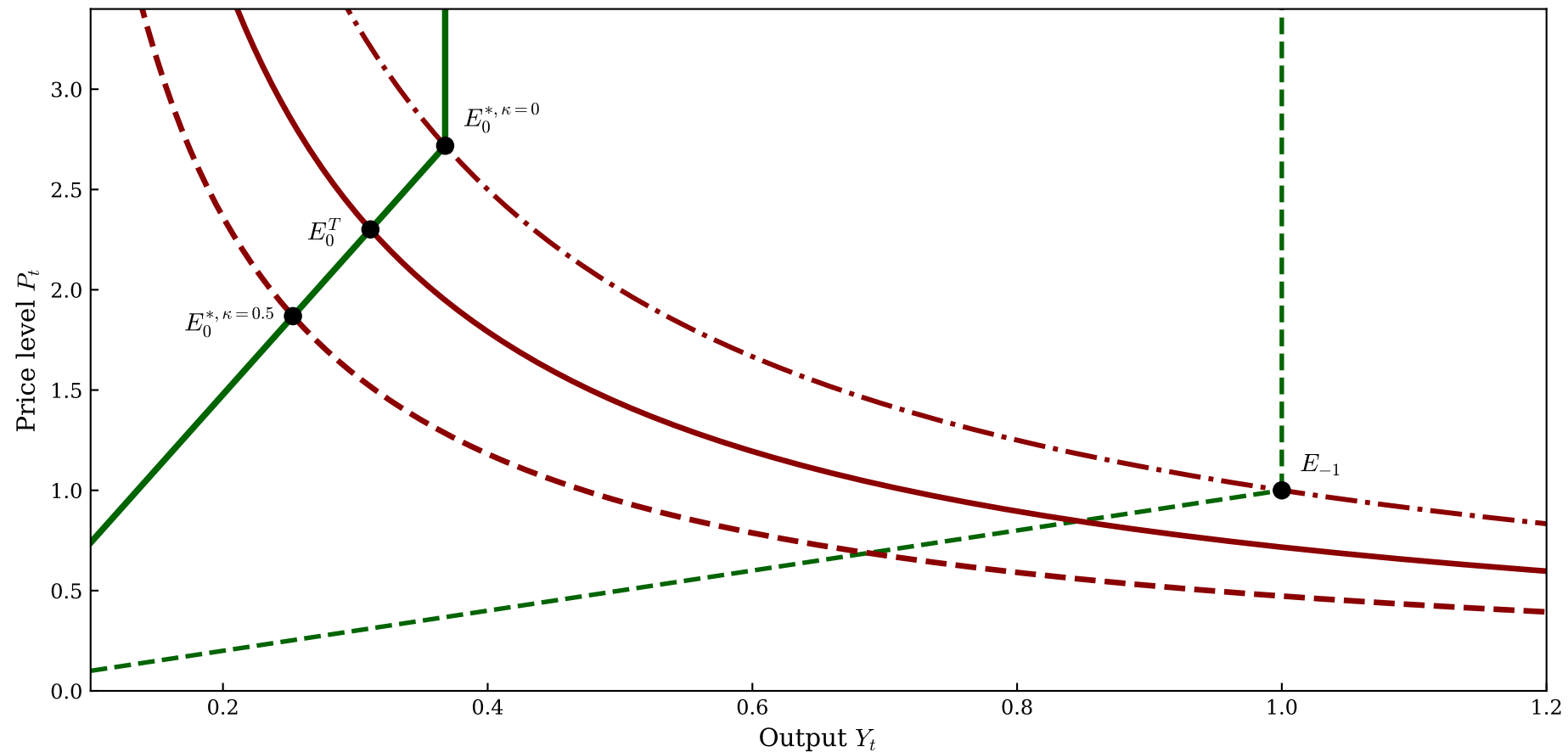


AS-AD diagram after a one-time negative productivity shock



- Initial AS
 - . - Initial AD = AD, optimal policy, $\kappa = 0$
-- AD, optimal policy, $\kappa = 0.5$
- Post-shock AS
 — AD, Taylor rule